

# Local Instruction LI-FIN-04

## Purchasing, goods receipt and invoice verification

*Meridia Pharma Norvania d.o.o. - Finance department*

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### 1. Purpose and scope

This instruction describes how purchases of goods are recorded in the local system: trade goods supplied by the group and packaging, laboratory, office and logistics materials bought from local and foreign vendors. Every purchase of goods requires a purchase order in the system. Services, rent, utilities, leasing and similar costs are not ordered in the system; their invoices are booked directly to the cost account and cost centre named by the requester.

### 2. Document numbers

The system assigns eight-digit numbers by document class: purchase orders 45xxxxxx, goods receipt documents 50xxxxxx, vendor invoices and credit notes 51xxxxxx, manual journals 10xxxxxx and payment documents 15xxxxxx. The accounting document of a goods receipt or an invoice carries the same number as the receipt or the invoice. In the assignment field of a ledger line the system writes the order number followed by the five-digit order position without a separator.

### 3. Purchase orders

Purchasing enters the vendor, the material, the quantity in the order unit and the price per order unit. The order currency is taken from the vendor master. The conversion between the order unit and the base unit (for example cartons to packs, boxes to pieces) comes from the material master. Delivery dates are agreed with the vendor by e-mail; the delivery date field of the order line is not used. If a price is renegotiated after the order was sent, purchasing should change the order line; the system then shows the new price and the date of the change, and receipts posted earlier keep their value.

### 4. Goods receipt

The warehouse posts the receipt with movement type 101 against the order position on the day the goods arrive or on the next working day, and enters the number and the date of the vendor's delivery note. The receipt is valued at the order price. For orders in EUR the system uses the booking rate of the posting month, which is the closing rate of the previous month. The receipt debits inventory (1400 trade goods, 1410 other materials and supplies) and credits the clearing account 2810.

A posted receipt is never changed. A mistake is corrected with movement type 102, which refers to the original document, followed by a new receipt with the correct data and the original delivery note. Goods sent back to the vendor are also posted with movement type 102. Quantities and amounts of receipt documents are always shown without a sign; the movement type gives the direction.

### 5. Invoice verification

Accounts payable enters the vendor's invoice number in the reference field and assigns each invoice line to an order position. Quantities are entered in the unit printed on the invoice; the system converts them to the order unit. The invoice debits the clearing account 2810 and credits the vendor: 3300 for domestic vendors, 3310 for foreign vendors, 3350 for group companies. Credit notes are entered with document type KG, with positive amounts.

When receipt and invoice for a quantity are both posted, the system posts the difference between the receipt value and the invoice value automatically: to 5890 (price differences) for orders in NVK and to 6900 (exchange differences) for orders in EUR.

An invoice for goods that have not yet been received may be entered and released for payment if the requester confirms the delivery in writing; an e-mail is sufficient. Invoices of the group supply company are issued on dispatch and normally arrive before the goods. At the half-year and at year end the Head of Finance reclassifies group deliveries that are invoiced but not yet received from the clearing account to 1450 (goods in transit); the journal is reversed on the first day of the following period.

## **6. Clearing of account 2810**

At month end the accountant reviews the list of open items on 2810. Small remaining differences on order positions for which no further invoice and no further delivery are expected - free over-deliveries, rounding between units - are cleared with a manual journal (document type SA) against 5890. The order number and position are entered in the assignment field. The accountant may clear up to NVK 2,500 per order position; larger amounts need the approval of the Head of Finance.

## **7. Payments**

The payment run takes place every Thursday and pays the invoices due. Credit notes are deducted from the next payment to the vendor. Payables to group companies are settled once a month through group netting. Vendors with payment terms ADV are paid on receipt of the invoice, before delivery.

## **8. Tax**

Domestic purchases carry the standard VAT rate of 20 % (tax code V2). Invoices from foreign vendors and from group companies are entered without tax (tax code V0).